PRICING & DEMAND STRATEGY

ANALYSIS OF HOTEL PORTFOLIO REVENUE PERFORMANCE

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2 BUSINESS OBJECTIVE

Understand how pricing decisions influence demand, occupancy, and revenue performance across the hotel portfolio.

BUSINESS CHALLENGE

Pricing decisions require a balance between rate and demand.
Higher ADR may improve revenue per booking, but it can also reduce occupancy if pricing exceeds market demand.

Demand changes across time and market conditions.
Seasonality, events, holidays, and booking timing may affect both occupancy and revenue potential.

Performance varies across properties and markets.
The client needs a consistent way to identify strong properties, pricing gaps, and revenue opportunities.

KEY BUSINESS QUESTIONS

1. How does pricing impact demand and occupancy across different properties?
2. What patterns appear across seasonality, events, and booking timing?
3. Where are the strongest opportunities to improve pricing strategy and revenue?

Objective

Evaluate the relationship between pricing, demand, and revenue, and translate the findings into actionable recommendations.

3 DATA PREPARATION & ANALYTICAL APPROACH

Prepared three linked datasets to create a consistent property-level view of pricing, demand, and booking performance.

DATA SOURCES

Properties
Hotel, city, brand, and price positioning

Daily Metrics
ADR, occupancy, RevPAR, events, and holidays

Bookings
Channel, rate plan, lead time, status, and recorded revenue

PREPARATION WORKFLOW

1. **Review**
   Profiled tables, fields, missing values, duplicates, and data types.
2. **Standardize**
   Aligned property IDs, column formats, and date fields.
3. **Clean**
   Removed duplicate and test records while preserving documented exceptions.
4. **Model**
   Built table relationships, KPI measures, and interactive Power BI views.

DATA QUALITY ISSUES & TREATMENT

Duplicate records ✓
Identified 266 duplicates and removed them from the cleaned output.

Date inconsistencies ✓
Converted and standardized date fields before time-based analysis.

Property ID mismatches ✓
Normalized keys before linking property, daily, and booking data.

Revenue definition ✓
Retained recorded revenue because transaction components could not fully reproduce the source value.

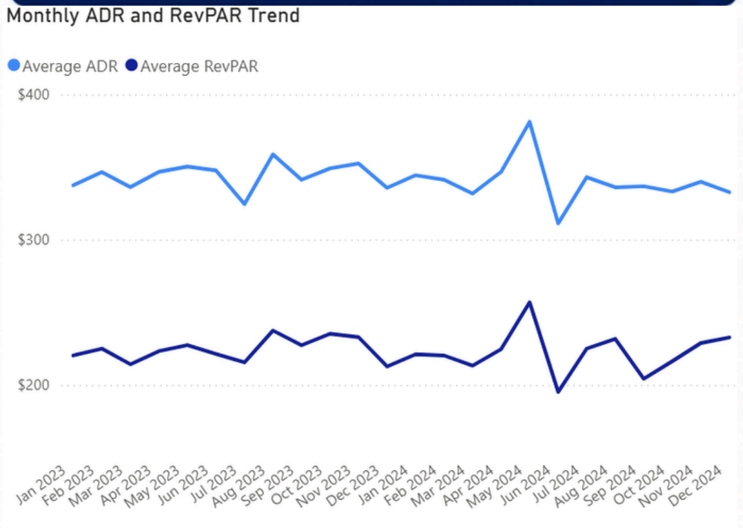
ANALYTICAL FRAMEWORK

Pricing
ADR & Price Index → **Demand**
Occupancy & Booking Timing → **Revenue Performance**
RevPAR & Recorded Revenue

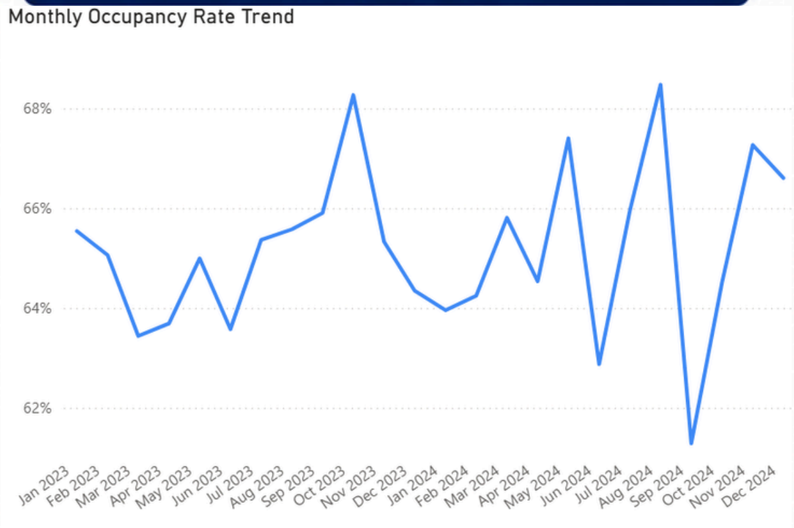
4 Finding 1 — Pricing and Revenue Move Together, but Occupancy Responds Differently

ADR and RevPAR follow similar monthly trends, while occupancy shows sharper fluctuations that do not always align with pricing changes.

Monthly ADR and RevPAR Trend



Monthly Occupancy Rate Trend



Key Business Insights

1 Portfolio maintains a premium price position

Average ADR is $342.10 and the Price Index is 1.30, while average occupancy remains at 65.11%.

2 Pricing is a major driver of RevPAR

ADR and RevPAR moved together, reaching a clear high in June 2024 before falling sharply in July.

3 Demand timing remains uneven

Occupancy peaks and troughs do not fully align with price changes, suggesting that rates may not respond quickly to short-term demand.

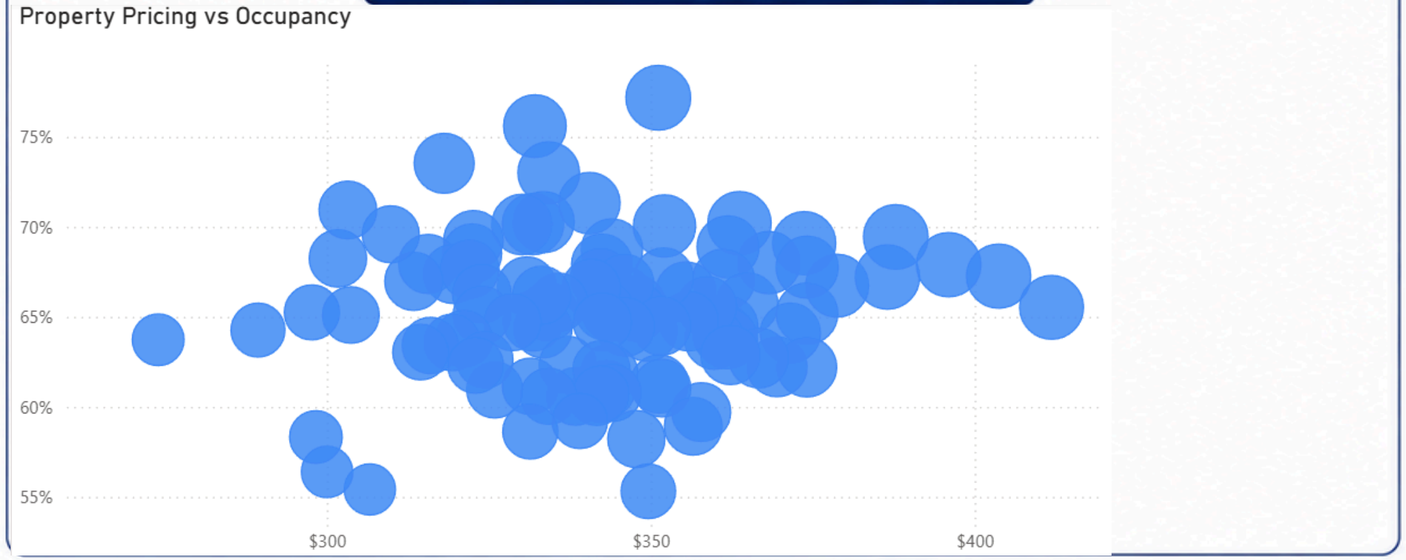
Takeaway

The portfolio sustains premium pricing, but more responsive rate adjustments could capture demand peaks and protect RevPAR during weaker periods.

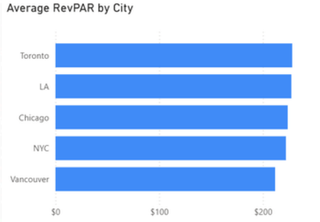
5 Finding 2 — Pricing Impact Varies More by Property Than by Price Level

Property performance differs widely at similar price points, indicating that market, positioning, and execution matter alongside ADR.

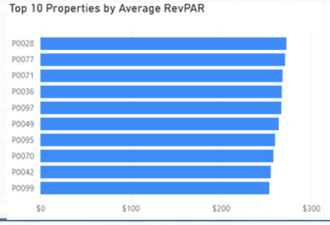
Property Pricing vs Occupancy



Average RevPAR by City



Top 10 Properties by Average RevPAR



Key Business Insights

1 No clear portfolio-wide price–occupancy trade-off

Properties at similar ADR levels show a wide range of occupancy, and several higher-priced hotels still maintain strong demand.

2 City performance gaps remain meaningful

Toronto leads average RevPAR at about $228, while Vancouver is lowest at about $211 — a gap of roughly $17.

3 Top properties provide an internal benchmark

P0028 leads average RevPAR at approximately $275, while the Top 10 properties cluster near $255–$275.

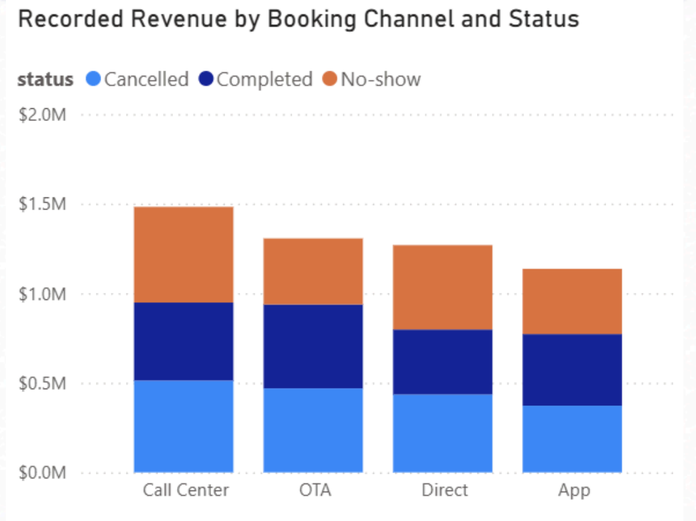
Takeaway

A uniform pricing rule would overlook property-level differences. Rates should reflect local demand, positioning, and each hotel's demonstrated pricing power.

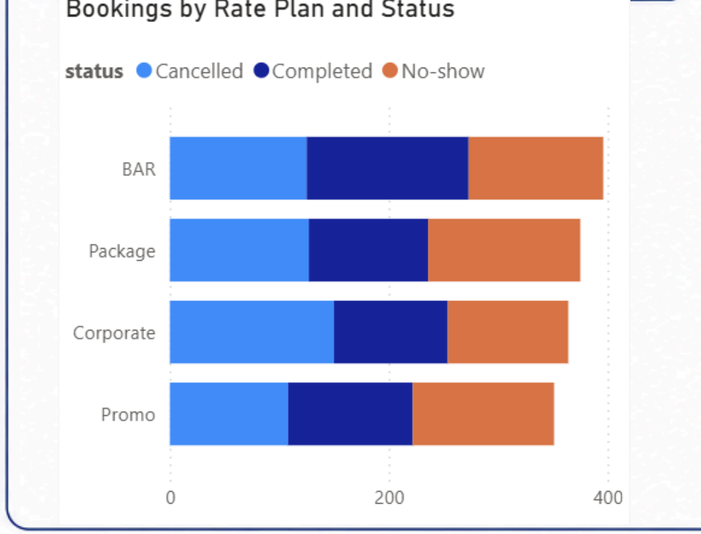
6 Finding 3 — Long Lead Times and Booking Losses Create Revenue Risk

Recorded revenue is strong, but cancellations, no-shows, and long booking lead times create substantial uncertainty.

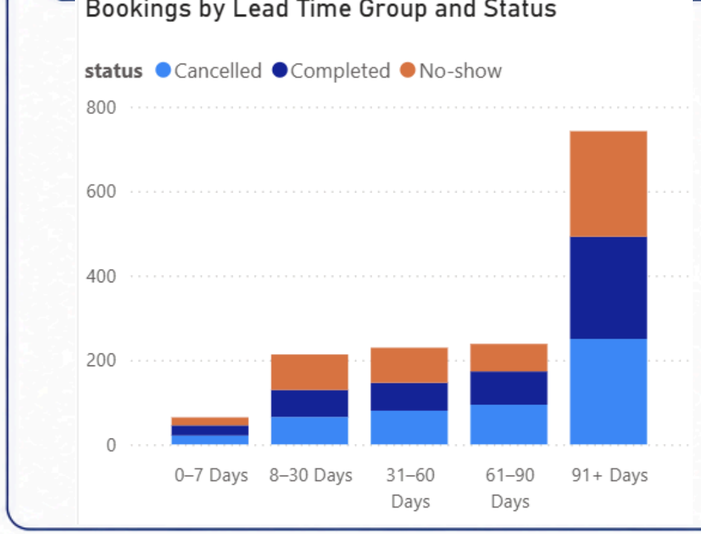
Recorded Revenue by Booking Channel and Status



Bookings by Rate Plan and Status



Bookings by Lead Time Group and Status



Key Business Insights

1 Call Center leads recorded revenue

Call Center records about $1.48M, while App is lowest at about $1.13M. Revenue includes all booking statuses.

2 Booking losses are exceptionally high

Cancellation and no-show rates are 34.32% and 33.71%, leaving only about 31.97% of bookings completed.

3 Long lead times increase uncertainty

Average lead time is 89.7 days, and approximately half of bookings fall in the 91+ Days group.

Takeaway

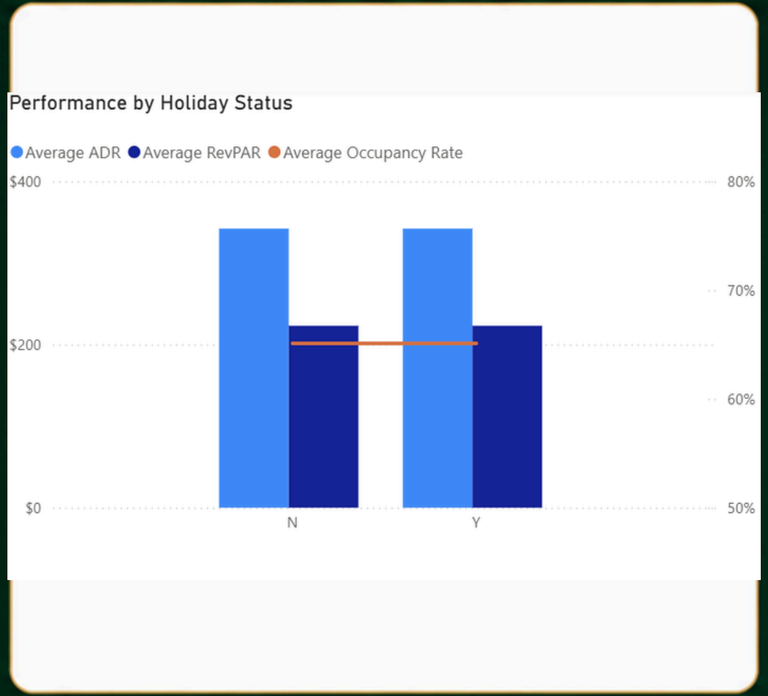
Revenue improvement should begin with protecting booked demand through deposits, confirmation reminders, and tighter cancellation controls.

07 Demand Drivers & Pricing Opportunities

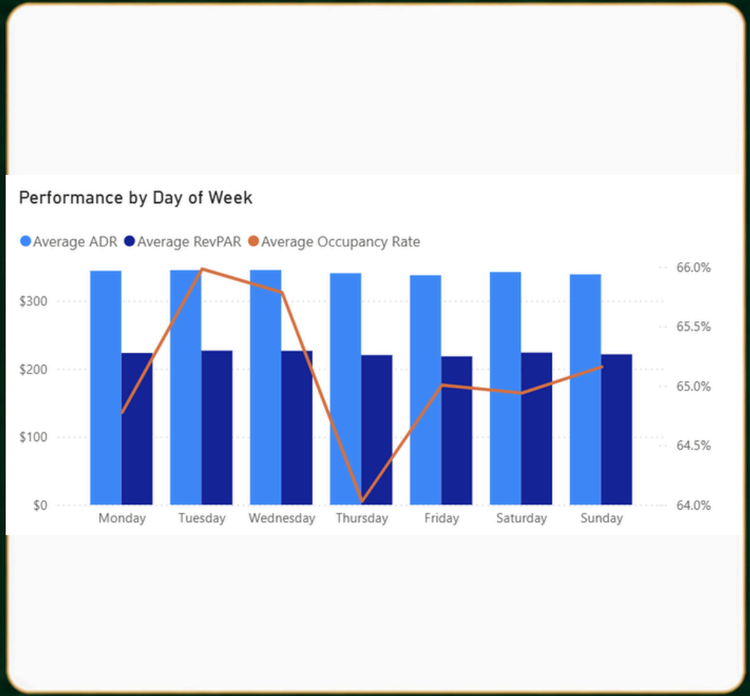
Performance by Event Status



Performance by Holiday Status



Performance by Day of Week



KEY INSIGHTS

- Events lift occupancy slightly, but ADR does not increase.
- Holiday and non-holiday performance is nearly identical.
- Weekday variation is limited, with only a small occupancy gap.

PRICING OPPORTUNITY

Use event- and day-level dynamic pricing tests to capture demand more effectively.

08 | Top 3 Recommendations

01



Reduce Booking Leakage

Introduce deposits, shorter free-cancellation windows, and pre-arrival confirmation for 91+ day bookings.

Expected impact:
More reliable realized revenue

02



Test Dynamic Pricing

Raise rates selectively during events and stronger weekdays, while using targeted offers on softer dates.

Expected impact:
Higher ADR and RevPAR

03



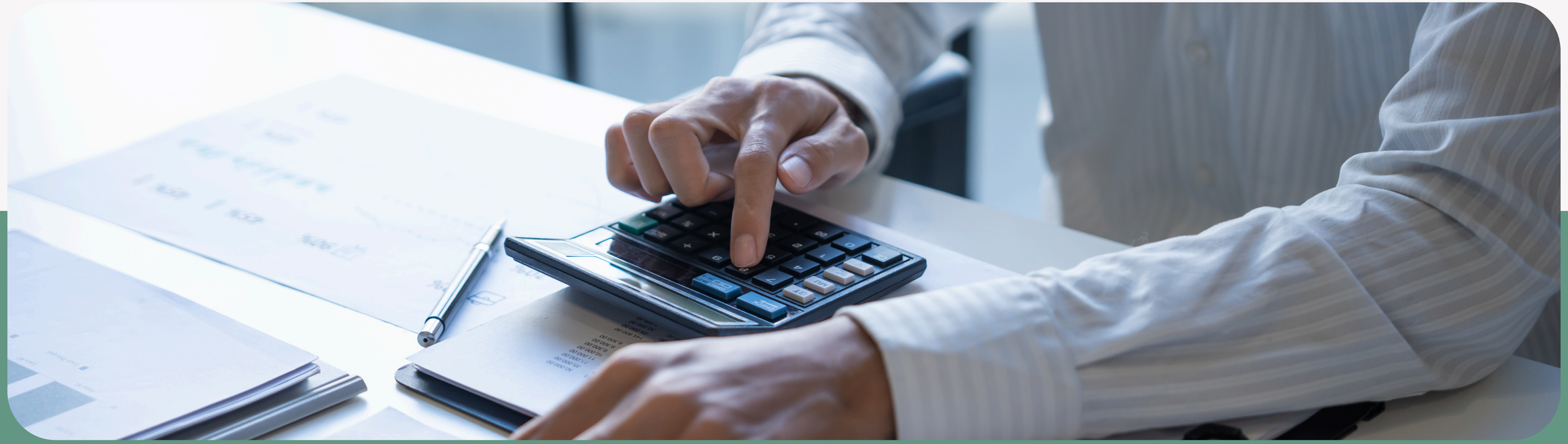
Scale What Works

Benchmark top properties such as P0028 and transfer effective pricing and operating practices across the portfolio.

Expected impact:
Narrower property performance gaps

FINAL TAKEAWAY

The greatest revenue opportunity is not simply higher pricing—it is converting demand into more dependable completed stays.



THANK YOU